



ZoomInfo Due Diligence

Hypothetical take-private scenario



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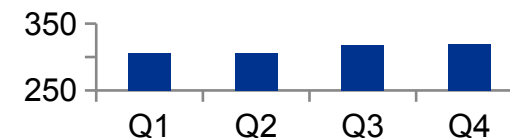
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Profit & loss overview

FY2025 returned to modest growth with resilient non-GAAP margins; GAAP margins are sensitive to restructuring, litigation, and other episodic items.



Metric	FY2024	FY2025
Revenue (GAAP, \$m)	1,214.3	1,249.5
Gross profit (GAAP, \$m)	1,024.5	1,049.9
Adjusted EBITDA (Non-GAAP, \$m)	452.4	475.7

FY2025 highlights: \$1.25B revenue, ~84% gross margin, \$446M adjusted operating income; FY2026 guidance implies low growth

- GAAP revenue increased from \$1,214.3m in FY2024 to \$1,249.5m in FY2025 (+3% YoY).
- Gross profit was \$1,049.9m in FY2025 (gross margin ~84% per company disclosure).
- Non-GAAP adjusted operating income was \$445.9m in FY2025 (36% margin); key add-backs include SBC, amortization of acquired intangibles, restructuring, and litigation settlements.
- FY2026 guidance (issued February 9, 2026) calls for revenue of \$1.247B–\$1.267B and adjusted operating income of \$456M–\$466M.

S1 (FY2025 Form 10-K filed Feb 12, 2026) and S2–S5 (FY2025 quarterly earnings releases filed via Form 8-K).





Summary financials

Quality of earnings

[Read more](#)

Net working capital

[Read more](#)

Net debt

[Read more](#)

Cash conversion

Other value bridge

S1, S2 (FY2025 Form 10-K and Feb 9, 2026 earnings release).



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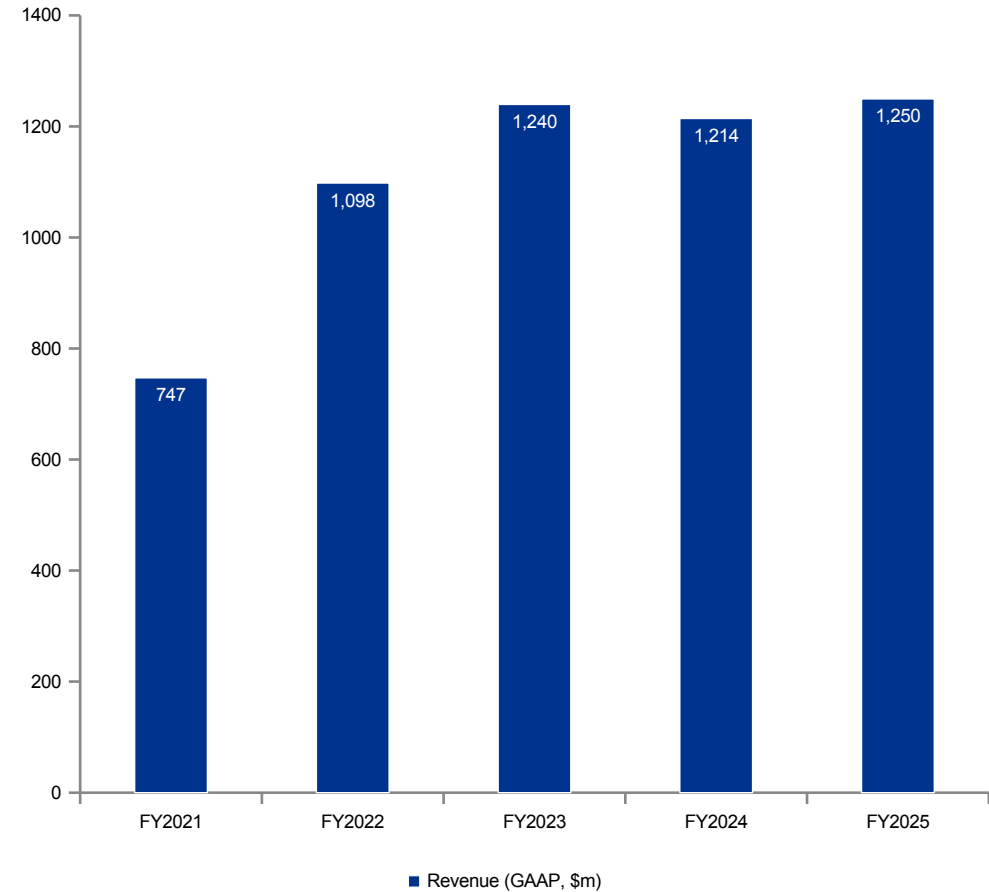
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Historical trading analysis

Revenue growth decelerated post-2022; profitability remains strong on a non-GAAP basis, while GAAP margins reflect episodic items.

- GAAP revenue increased materially from FY2021 to FY2023, then contracted in FY2024 before returning to growth in FY2025; this pattern is consistent with macro pressure and normalization after earlier growth.
- Non-GAAP adjusted operating income remains substantial, but the bridge includes recurring items (e.g., stock-based compensation) and acquisition-related amortization.
- Operating cash flow is consistently high relative to GAAP net income, aided by advance billing and subscription contract structure.

Key lens for take-private: stress-test renewal/expansion assumptions vs. net revenue retention in the high-80s to ~90% and assess exposure to AI-driven seat compression.

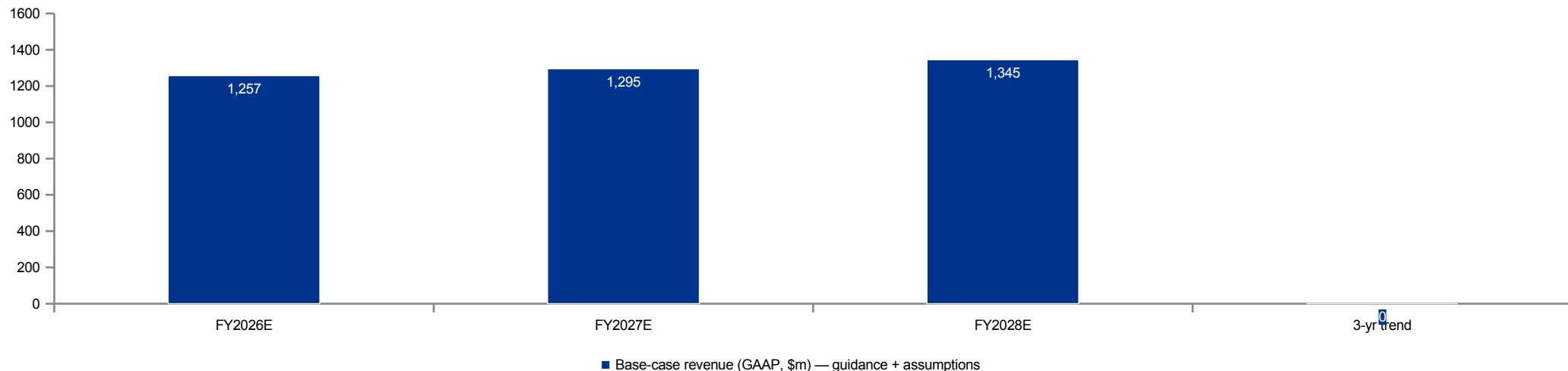


Forecast overview

Company provides FY2026 guidance; FY2027–FY2028 require conservative assumptions until management provides multi-year outlook.

FY2026 guidance (February 9, 2026): revenue \$1.247B–\$1.267B, adjusted operating income \$456M–\$466M, and unlevered free cash flow \$435M–\$465M.

- Base case (Assumption required) extends a low-growth profile into FY2027–FY2028 with modest retention improvement driven by Upmarket mix and AI product adoption.
- Downside case includes continued seat compression and pricing pressure, holding net revenue retention near ~90% or below and limiting expansion.
- Upside case assumes faster monetization of AI-enabled workflows, improved renewal/retention, and incremental international penetration.



Key operating metrics

Retention and Upmarket mix improved through 2025; contracted coverage and deferred revenue support durability, but <100% NRR remains a key risk.

Metric	FY2024	FY2025	Commentary
Net revenue retention (as of year-end)	87%	90%	Improved vs FY2024; still below 100%, implying cohort contraction without new logo/expansion offsets.
Customers with >\$100k ACV (as of year-end)	1,867	1,921	Upmarket customer count grew; concentration in larger customers can improve durability but can increase deal-size volatility.
Remaining performance obligations (RPO) at year-end (\$m)	1,156.9	1,252.4	RPO provides forward revenue coverage; \$887.4m expected to be recognized within one year as of Dec 31, 2025.
International revenue exposure (% of total revenue)	~12%	~12%	Rest of world revenue was \$145.8m in FY2025; business remains predominantly U.S.-centric.

Key takeaways

- Key takeaways synthesized from the table inputs for quick scan and discussion.
- Use as a working view; confirm all figures during confirmatory diligence.
- Add diligence commentary to contextualize table outcomes and implications.
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Commercial diligence findings

Key lenses: durability of subscription renewal base, macro sensitivity of SMB, and competitive positioning as AI reshapes GTM workflows.

Durability positives: Subscription-heavy model; contracts typically 1–3 years and non-cancelable; meaningful RPO balance supports near-term revenue visibility.

Durability risks: Net revenue retention below 100%; management cites macro pressure and expects NRR to be influenced by Upmarket motion; AI-driven seat compression risk is explicitly disclosed.

Competitive dynamics: Company identifies competition from free sources, internal databases, niche providers, and potential entrants including LLM/generative AI players and large ecosystems (CRM/business software).

Commercial opportunity: Continued Upmarket penetration (reported 74% of ACV Upmarket as of Dec 31, 2025) and embedding data/agents into customer workflows could support retention and ARPA.

Operational diligence findings

Operating model combines AI/ML data engine with human-in-the-loop QA; diligence should focus on data sourcing rights, opt-out scalability, and integration resilience.

Data engine thesis: Company describes an AI/ML engine gathering billions of data points from millions of sources, supported by research analysts and data scientists for quality assurance and gap-filling.

Data quality / liability: Company discloses a contractual data quality guarantee that may create reimbursement/termination risk if accuracy falls below threshold.

Privacy/compliance: Expansion of state privacy laws and public opt-out tooling (e.g., California DROP) may elevate opt-out rates and pressure dataset breadth; multiple privacy-adjacent litigations were disclosed in FY2025 filings.

Ecosystem dependencies: Integrations into CRM and marketing systems are described as critically important; loss of API access by platform operators could disrupt customer workflows and retention.

Investment highlights and concerns

Board-level view of key upside and downside factors for a sponsor-led take-private.

Highlights: High gross margin profile and strong cash generation (FY2025 OCF \$465m and unlevered FCF \$455m); subscription model with meaningful RPO; Upmarket momentum and improving NRR through 2025.

Concerns / red flags: FY2026 guidance implies a low growth ceiling near-term; NRR remains below 100% and disclosures explicitly flag AI-driven seat compression and LLM-driven competitive risk.

Structuring considerations: Large TRA liability (~\$2.7B at Dec 31, 2025) and material deferred tax assets subject to realizability judgments; both can impact equity value, cash flow, and diligence priorities.

Value creation plan

Sponsor value creation levers prioritize retention uplift, product-led expansion into workflows, and cost discipline while hardening privacy posture.

Retention & expansion

- Drive NRR toward 100%+ via Upmarket renewals, seat-value packaging, and customer success playbooks tied to measurable pipeline ROI.

AI monetization

- Productize AI/agent workflows into priced modules; mitigate seat compression by shifting pricing toward outcomes/usage where feasible.

Margin discipline

- Sustain non-GAAP operating margin mid-30%s; reduce episodic restructuring by completing real-estate footprint optimization and stabilizing org design.

Privacy & data resilience

- Industrialize opt-out handling (DROP readiness), strengthen data sourcing rights, and reduce litigation surface area through governance, disclosures, and auditability.

Quality of earnings



Summary financials

Revenue quality

[Read more](#)

Margin bridge

[Read more](#)

Net debt

[Read more](#)

Cash conversion

Working capital

S1–S6 (Forms 10-K / 10-Q / 8-K as cited in source register).



